

percent appreciation. Buffett's profit was \$90 million and the deal was not due to close until January 1986.

The margin of safety that Buffett received buying Capital Cities was significantly less than with other purchases. So why did he proceed? The answer was Tom Murphy. Had it not been for Murphy, Buffett admits he would not have invested in the company. Murphy was Buffett's margin of safety. Capital Cities/ABC was an exceptional business, the kind of business that attracts Buffett. But there is also something special about Murphy. "Warren adores Tom Murphy," said John Byrne. "Just to be partners with him is attractive to [Buffett]."¹⁷

Cap Cities' management philosophy is decentralization. Murphy and Burke hire the best people possible and then leave them alone to do their job. All decisions are made at the local level. Burke found this out early in his relationship with Murphy. Burke, while managing the Albany TV station, mailed updated reports weekly to Murphy, who never responded. Burke finally got the message. Murphy promised Burke, "I won't come to Albany unless you invite me—or I have to fire you."¹⁸ Murphy and Burke help set yearly budgets for their companies and review operating performance quarterly. With these two exceptions, managers were expected to operate their businesses as if they owned them. "We expect a great deal from our managers," wrote Murphy.¹⁹

And one thing Capital Cities' managers were expected to do was control costs. When they failed, Murphy was not shy about getting involved. When Capital Cities purchased ABC, Murphy's talent for cutting costs was badly needed. Networks tend to think in terms of ratings, not profits. Whatever was needed to increase ratings, the network thought, superseded cost evaluation. This mentality abruptly stopped when Murphy took over. With the help of carefully selected committees at ABC, Murphy pruned payrolls, perks, and expenses. Some 1,500 people, given generous severance packages, were let go. The executive dining rooms and private elevator at ABC were closed. The limousine at ABC Entertainment in Los Angeles that was used to drive Murphy during his first tour of the company's operation was discharged. On his next trip, he took a cab.

Such cost-consciousness was a way of life at Capital Cities. The company's Philadelphia television station, WPVI, the number-one station in